INSTRUCTIONAL AREA
Economics

BUSINESS FINANCE SERIES EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Explain the economic impact of interest-rate fluctuations.
2. Determine the impact of business cycles on business activities.
3. Identify factors affecting a business's profit.
4. Explain the concept of competition.
5. Build trust in relationships.

EVENT SITUATION

You are to assume the roles of the chief lending officer and the chief member experience officer at RIVERBEND COMMUNITY CREDIT UNION, a member-owned credit union with 14 branches and 61,000 members. The CEO (judge) wants your team to explain how falling interest rates are affecting the credit union and to recommend how it should respond.

After a long stretch of high interest rates, the Federal Reserve has lowered its benchmark rate several times over the past year. Economists disagree about why: some say the economy is cooling toward a slowdown, and others think the Fed is heading off a recession before it starts.

The rate cuts have hit RIVERBEND in two very different ways. Loan demand has surged as members rush to finance vehicles, refinance older loans and take out home equity lines. At the same time, RIVERBEND has cut its certificate and savings rates to keep pace with the market. Members are moving their money to online-only banks that still offer higher rates. With deposits shrinking and loan demand climbing, RIVERBEND is running short of the funds it needs to lend.

Members have noticed. Social media comments include “They were quick to cut my savings rate but slow to cut my loan rate” and “Why should I keep my money here?” The CEO (judge) has given your team the following data:

	Q3 Last Year	**Q4 Last Year**	**Q1 This Year**	**Q2 This Year**	**Q3 This Year**
Fed benchmark rate (upper target)	5.00%	4.75%	4.50%	4.25%	4.00%
RIVERBEND 12-month certificate rate	4.60%	4.40%	4.10%	3.80%	3.50%
Top online bank 12-month CD rate	4.75%	4.70%	4.60%	4.50%	4.40%
RIVERBEND avg. new auto loan rate	7.10%	6.90%	6.60%	6.30%	5.90%
Total member deposits	$412M	$405M	$396M	$384M	$371M
Loan applications received	1,850	1,980	2,240	2,610	2,950
Loan-to-deposit ratio	82%	85%	89%	94%	99%
Net interest margin	3.05%	3.00%	2.94%	2.86%	2.78%

The CEO (judge) wants your team to:

- Explain how changes in interest rates affect RIVERBEND, its members and the wider economy.
- Use the data to explain what is happening to RIVERBEND’s profitability.
- Discuss where the economy may be in the business cycle and what that means for the credit union’s planning.
- Explain how online banks are competing for RIVERBEND’s deposits.
- Recommend strategies to keep deposits, meet loan demand and rebuild member trust.

You will present your analysis to the CEO (judge) in a meeting in the CEO’s office. The CEO (judge) will begin the meeting by greeting you and asking to hear your ideas. After you have presented and answered the CEO’s (judge’s) questions, the CEO (judge) will conclude the meeting by thanking you for your work.

Possible Judge's Questions:

1. The online banks are paying almost a full percentage point more than we are. Why don't we just match their rate, and what would that do to our profit?
2. How do we explain to members why savings rates went down faster than loan rates without sounding like we're taking advantage of them?

Rate the participants' ability to:		Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Explain the economic impact of interest-rate fluctuations.	0-1-2-3	4-5-6	7-8-9	10	
2.	Determine the impact of business cycles on business activities.	0-1-2-3	4-5-6	7-8-9	10	
3.	Identify factors affecting a business's profit.	0-1-2-3	4-5-6	7-8-9	10	
4.	Explain the concept of competition.	0-1-2-3	4-5-6	7-8-9	10	
5.	Build trust in relationships.	0-1-2-3	4-5-6	7-8-9	10	
SOLUTION						
4.	**Unique** Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
5.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
6.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
7.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
8.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
9.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
10.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4-5	6-7	8	
					TOTAL SCORE	